INSURANCE AND PENSIONS COMMISSION

SHORT TERM INSURERS AND REINSURERS

MARKET STATISTICS FOR 2010, THIRD QUARTER

Contents

1. List of Acronyms and Abbreviations

GPW	**–**	**Gross Premium Written**
NPW	**–**	**Net Premium Written**
IBNR	**–**	**Incurred But Not Reported**
ROE	**–**	**Return On Equity**
NEP	**–**	**Net Earned Premium**
O/S	**–**	**Outstanding**
UPR	**–**	**Unearned Premium Reserve**
H1	**–**	**First Half**
Q1	**–**	**First Quarter**
Q2	**–**	**Second Quarter**
Q3	**–**	**Third Quarter**
IPEC/Commission	**–**	**Insurance and Pensions Commission**

NOTE: All figures are in United States Dollars

2. Executive Summary

During the third quarter, the short-term insurance industry had 26 and 8 registered and operating direct insurers and reinsurers respectively. Two licensed direct insurer was yet to operate. Short term insurance business continued to grow against the background of a stable economic environment. There was a 36.13 % growth in GPW by direct insurers from $60.13 million to $83.12 million. This was however a slowdown in growth compared to 58,3% experienced during the second quarter.

Similarly reinsurance business during third quarter recorded GPW written of $37.91 million, a 37% growth from the previous period. The growth in the short term business was mainly spurred by growth in motor, fire and miscellaneous insurance. It should be noted that the Commission for the purpose of this report considered business written within Zimbabwe. A total of $12 million GPW generated through foreign operations by subsidiaries of Zimbabwean reinsurer's was factored out from the reported GPW for the quarter under consideration.

Growth in the business for the direct insurers resulted in reduced underwriting losses from $3.02 million during the second to $1.05 million for the third quarter. However for reinsurers the underwriting losses increased by over 73% from $1.07 million to $1.86 million for the period under review. The losses posted were mainly a result of increase in net claims and undercutting of rates.

Direct insurers had total shareholders' equity amounting to $37.83 million as at 30 September 2010, an increase of 16.5% from the figure of $32.49 as at 30

June 2010. Seven of the direct insurers were undercapitalized as a result of losses and the failure by their shareholders to inject fresh capital into the business. The Commission has engaged the affected insurers with a view of taking the necessary corrective action. All of the 8 reinsurers were adequately capitalized in terms of the legal minimum capital levels. For the purpose of avoiding double leverage of capital, the equity supporting the subsidiaries of insurers registered and operating outside Zimbabwe was deducted from the reported shareholders funds as at 30 September 2010.

To enhance underwriting capacity and competitiveness, the industry in general needs to recapitalize. The Commission in its desire to strengthen the insurance market and bring minimum capital levels in line with regional standards, target to increase the minimum required capital to at least between $1 000 000 and $1 500 000 by 2012.

The short term insurance industry is oligopolistic in nature dominated by a few players. For both direct insurers and reinsurers, 30% of the players account for more than 70% of the GPW and NPW in their respective lines of business.

The consolidated income statement and balance sheet of the short term industry is shown in appendix A.

Challenges

The following challenges were encountered in the preparation of the quarterly report:

- Late submission of third quarter returns by market players. With the last report received on 14 March 2011, more than four months after submission date 21 October 2011

- Different treatment of balance sheet and income statement by various insurers. For example some institutions in their outstanding claims would include IBNR or Unearned Premium. This compromises objective comparison of reinsurance figures.
- Some figures submitted by some market players were not balancing
- Submission of hard copies by insurers

Way Forward

To deal with the above challenges and reduce turnaround time for the quarterly reports the Commission intends to do the following:

- Levy penalties for late submission of any return without a reason acceptable to the Commission. In addition, to disclose to the industry the names of the institutions, compliance officers and principals whose returns remain outstanding three days after the due date.
- To hold a workshop with market players in order to have:
  - standard reporting formats for same reports
  - common understanding on the definitions and same treatment of terms contained in the returns submitted to IPEC
  - highlight IPEC's expectations in respect of submission of returns
  - in addition to hard copies, electronic copies of the return to be submitted to a dedicated returns e-mail address returns@ipec.co.zw The Commission will only acknowledge receipt of return upon receiving a signed and balancing hard copy of a return.

Structure of the Report

This report is divided into two sections. Section A gives the financial performance of the short-term insurers. Section B covers the financial performance of reinsurers.

SECTION A

3. Short-Term Insurance Companies

3.1. Performance Overview of Short-Term Insurers

During third quarter, there were 24 registered and operating direct insurers with two others licensed which, were however yet to operate. Short term insurance business in terms of gross written premium (GPW) continued to grow against the background of a stable economic environment. During the quarter under review GPW grew by 38.2% from the previous quarter ($60.13 million to $83.12 million). This was however a slowdown in growth compared to 58,3% experienced during the second quarter.

Table 1: Performance Indicators

	Q3 2010	Q2 2010	% Change
Gross Premium Written	83,121	60,134	38.2%
Net Premium Written	43,888	31,505	39.3%
Net Earned Premium	40,535	26,241	54.5%
Net Claims Incurred	17,078	11,054	54.5%
Net Commission Incurred	3,982	3,378	17.9%
Management Expenses	20,716	14,826	39.7%
Underwriting Profit	-1,046	-3,017	-65.3%
Investment Income	1,268	-670	-289.3%
Profit Before Tax	-1,216	-3,687	-67.0%

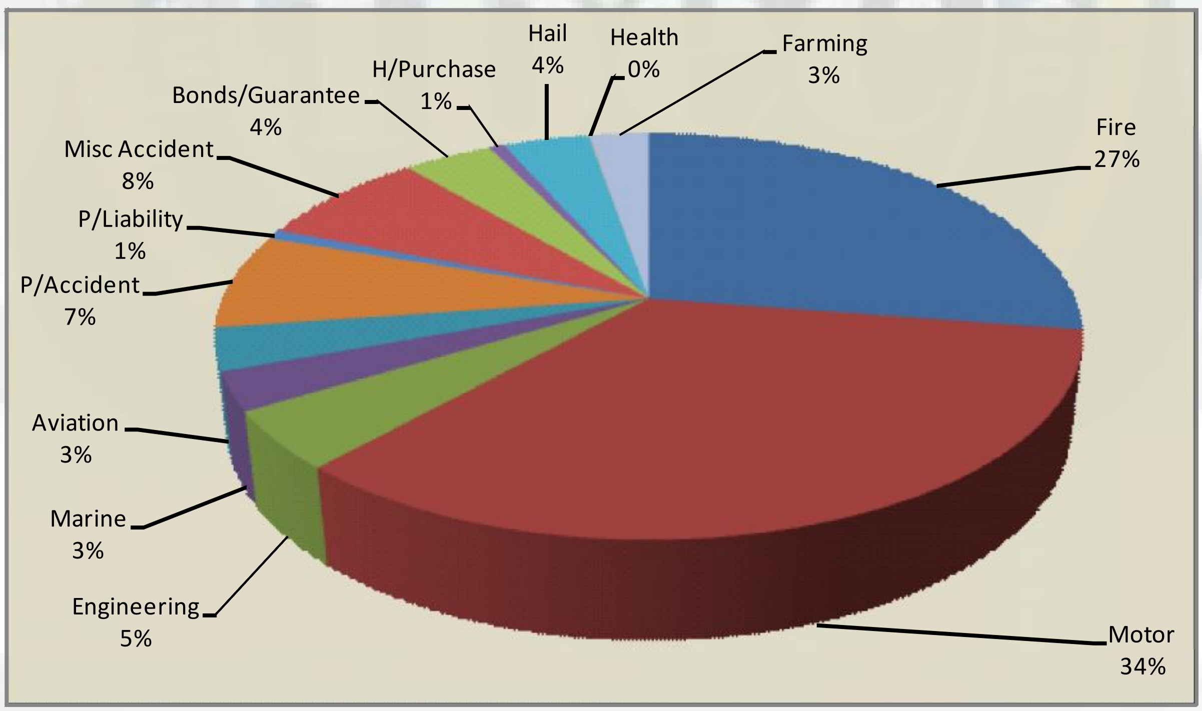
The growth was mostly attributed to motor, fire, personal accident and miscellaneous insurance business classes which, when combined constituted 84.7% of the increase in the GPW during the third quarter.

The distribution of insurance business by class is shown in Table 2 and Figure 1 below.

Table 2: Gross Written Premiums by Class of Business

Contribution by Class	Q3	Q2	% Change
Fire	22,826,333	16,818,815	35.72%
Motor	28,413,211	20,092,507	41.41%
Engineering	3,855,381	4,171,978	-7.59%
Marine	2,527,617	1,386,503	82.30%
Aviation	2,816,933	1,288,890	118.55%
P/Accident	6,294,203	3,630,079	73.39%
P/Liability	643,662	1,055,311	-39.01%
Misc Accident	6,431,962	3,945,194	63.03%
Bonds/Guarantee	3,323,214	2,385,194	39.33%
H/Purchase	561,299	362,670	54.77%
Hail	3,199,698	3,358,410	-4.73%
Health	25,402	23,180	9.59%
Farming	2,201,589	1,615,659	36.27%
Total	**83,120,504**	**60,134,390**	**38.22%**

Figure 1: Distribution of Business



Motor and fire insurance continue to be the dominating classes of business accounting for 61% of the GPW figure. There is however strong growth in marine, aviation and personal accident business, which increased by over 70% during the second quarter. This was coupled with increase in hire purchase insurance by 54%, an indicator to the recovery of the economy reflected by increased consumer demand for durables.

3.2. Earnings

Whilst the GPW increased, the short term insurers recorded a total of $1.05 million underwriting loss for the period ending 30 September 2010. This was however a significant improvement compared to the $3.02 loss recorded in the second quarter ending 30 June 2010. There was also an improvement in loss before tax position of 65.3% from $3.69 million to $1.21million. One major player in the market posted both underwriting and before tax losses in excess of one million for the period ending 30 September 2010.

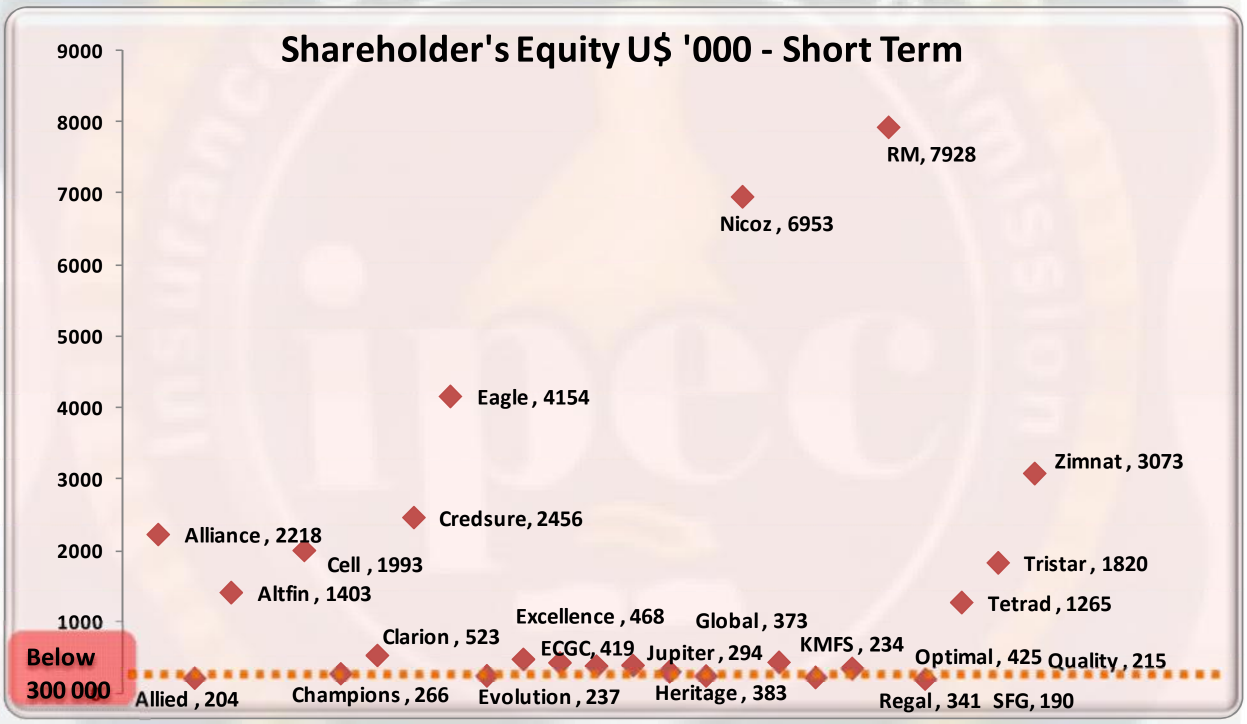
In general the industry's losses, in part, can be traced to increases in claims as evidenced by an increase in the net claim to net earned premium ratio which increased from 38% in the first quarter to 44% for the quarter under review. Rate undercutting also renders explanation to the losses recorded by some of the market players. However 13 of the short term companies recorded positive results during this period. Appendix A depicts the condensed income statement of the insurers.

3.3. Capitalization

Total capitalization (shareholders equity)of the 24 operating short term insurers was $37.83 million as at 30 September 2010 an increase of 16.5%

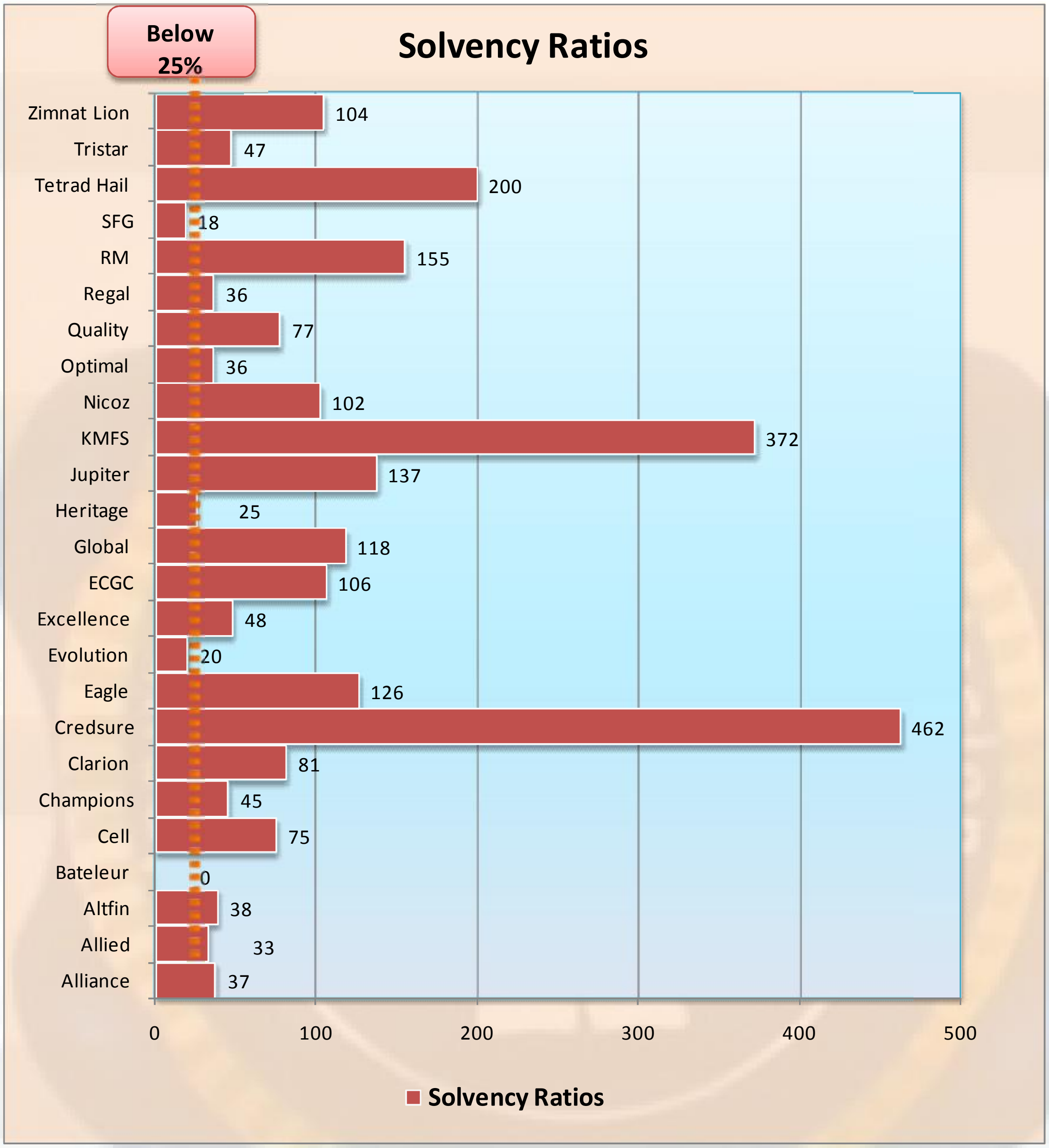
from the figure of $32.49 as at 30 June 2010. Fourteen direct insurers (58.3% of the market) have a combined total capital of $4.57 million, this constituted 12% of the total capital. The highest capitalized company among these fourteen had a capital of $523 000. Seven of these insurers, that is, 30% of the market were inadequately capitalized as at 30 September 2010. They have capital levels which are below the minimum requirement capital of $300 000 as stipulated in the Statutory Instrument 183 of 2009.

Figure2 : Capital Levels



The industry has a solvency ratio here defined as total capital divided by total liabilities, of 52.8% as at 30 September 2010. This ratio is above the 25% benchmark generally regarded as the accepted minimum for a financially sound short term insurer. Three institutions as reflected in Appendix A and the graph below had solvency ratios below 25%.

Figure 3: Solvency Ratios



Some players in the industry are inadequately capitalized in terms of minimum required levels and in relation to the level of the business they are underwriting. This is evidenced by the deterioration in solvency risk ratio from 80% at the end of the second quarter to 51% as at 30 September 2010.

The percentage growth in GPW of 38% which is higher than the percentage increase in total capital of 16% in the period under review reinforces the need for the industry to recapitalize.

In view of the above Insurance and Pensions Commission is engaging all institutions which have shown signs of financial weakness with a view of taking the necessary corrective action for the protection of the insuring public.

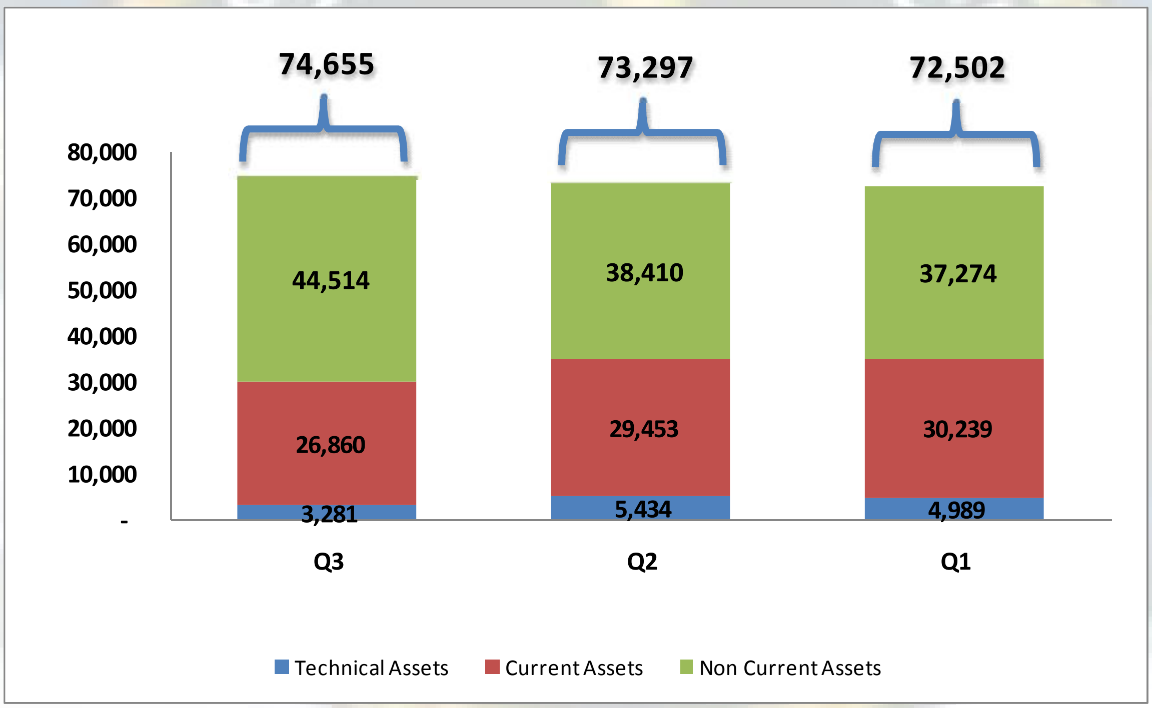
The Commission is cognizant of the fact that the legally stipulated minimum capital levels for the insurance industry as a whole are significantly low and constrain underwriting of meaningful volumes of business to sustain the insurers' operations on economic levels. The legal capital levels are also relatively low as compared to what is obtaining in the region and internationally, which comprises the competitiveness of our Zimbabwean insurance market.

However the background to the establishment of the minimum capital levels needs to be appreciated. After the introduction of the multi-currency regime, the industry was almost starting from zero as all value which was in the money market and prescribed assets was lost. The capital was also eroded through under priced equities and real property markets. The capital levels were therefore set to allow the institution to adjust to the dollarized economy and going forward the Insurance and Pensions Commission intends to increase the minimum capital in the industry in line with the regional trends. It is envisaged that the minimum capital for short term insurers will be increased to at least between $1 000 00 and $1 500 000 in the near future.

3.4. Asset Quality

The asset profile of the short-term insurance companies continues to be skewed towards non-current assets. The non-current assets accounted for 60% and current assets 36% of the total assets respectively. Cash and cash equivalent assets constitute 6% of total assets and 17% of currents assets. This scenario compromises the ability of insurers meeting their claims liabilities. The insurers need to align their balance sheets so that they are skewed towards current assets in line with the nature of their business to enable them to meet claims timeously.

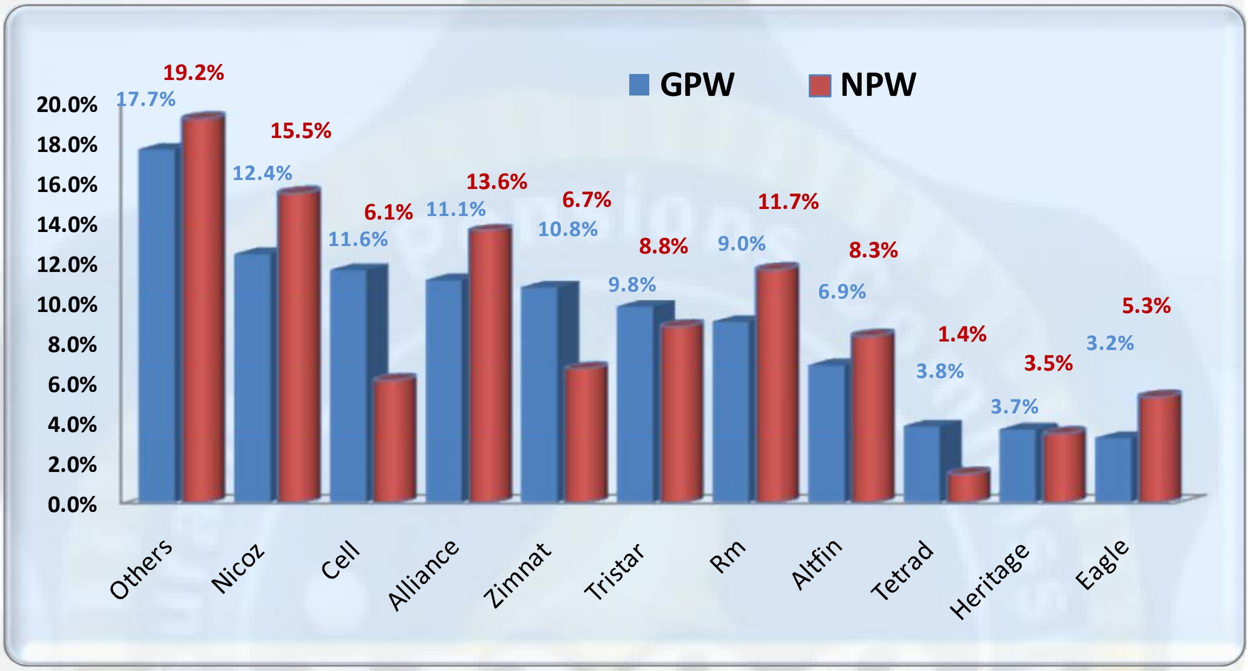
Figure 4: Assets of Short-Term Insurers ('000)



3.5. Market Share for Short-Term Insurers

The Figure 5 reflect an oligopoly market structure with 7 players, that is, 29% of the number of short term companies accounting for 72% and 70% of the total of GPW and NPW respectively as at 30 September 2010. The other 17 players contributed $23.6 million to the total GPW of $83.1 million. Figure 4 depicts the market share of the industry in terms of premiums written.

Figure 5: Market share using GPW and NPW



The top seven companies in terms of assets had assets that amounted to $52.85 which is 71% of the short term insurers' total assets base as at the end of the third quarter. It is interesting to note that ranking and composition of players constituting the top seven companies in terms of assets differ from those rated in respect to business written. Compare Figures 3 and 4.

Figure 6: Market Share In Terms of Asset

3.6. Reinsurance

Of the premium written by short term direct insurers up to the third quarter an average of 47% was ceded to reinsurers. Risk retention ranged from 12% to 100%. It is of concern that some insurers have high risk retention, which does not commensurate with their weak capitalization levels. This negates the fundamental insurance principle of risk spreading.

The high retention ratios against low capital levels increase the propensity of insurers to use premiums to support other cashflow commitments at the expense of possible claims which is the core business. In view of this, the Commission is closely monitoring the situation to ensure that adequate reserves are maintained and premiums are prudently preserved to meet claims that may arise.

Retention ratios for individual institutions and by class of business are shown in figure 7 and 8 below respectively.

Figure7: Reinsurance/Retention for Short Term Companies

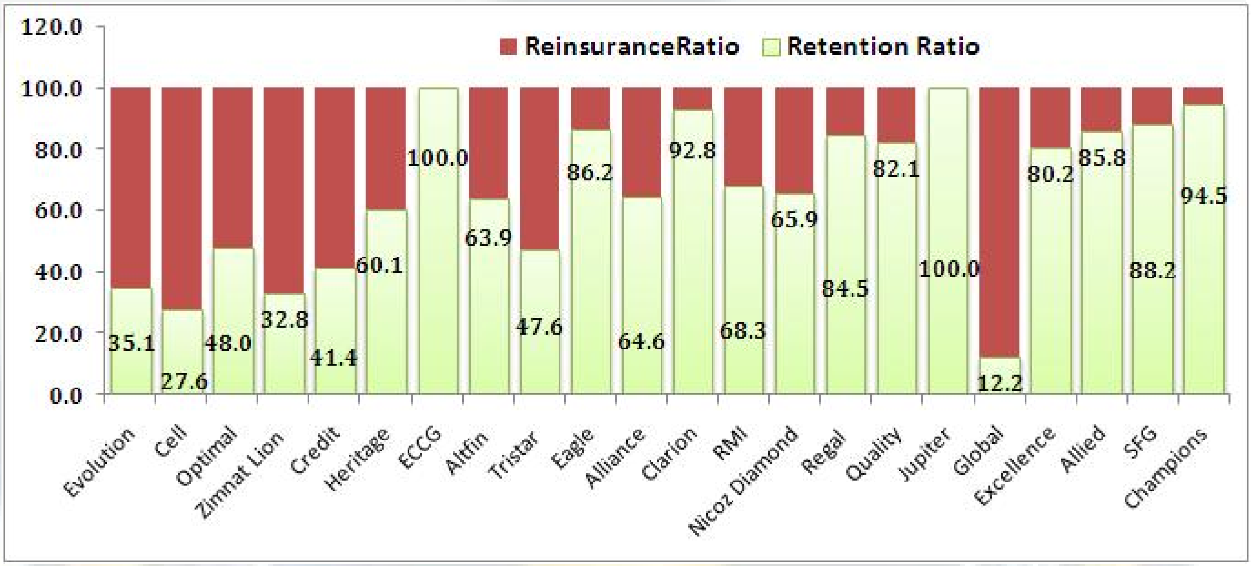
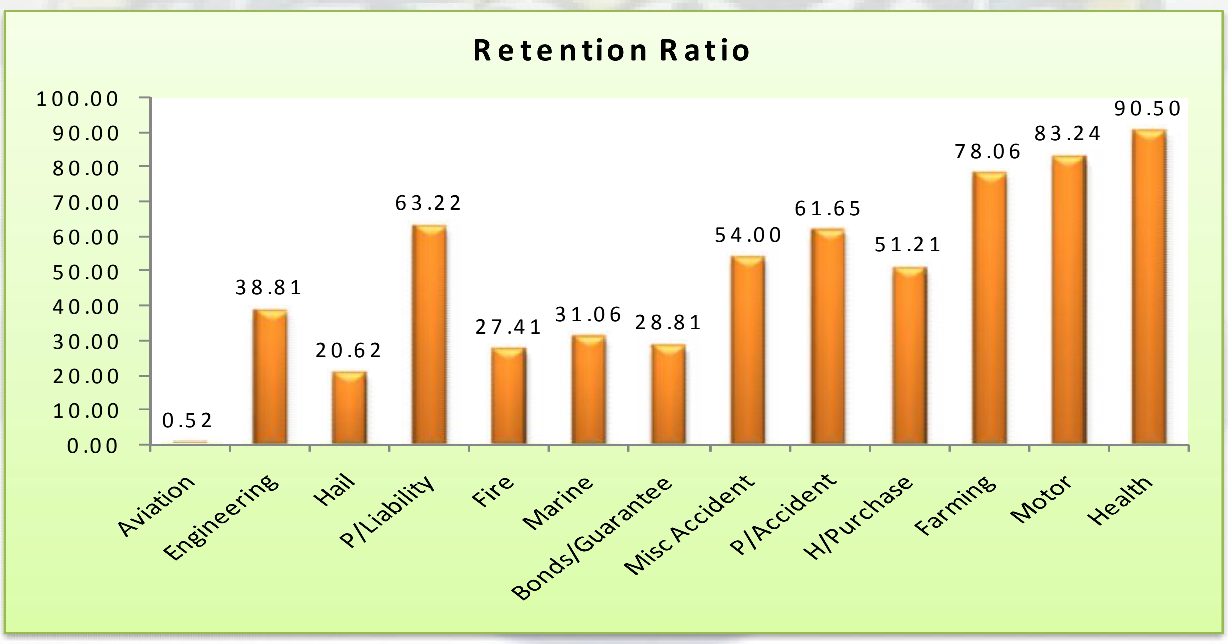


Figure 8: Retention by Class



SECTION B

4. Reinsurance Companies

4.1. Performance Overview of Reinsurers

The eight registered short-term reinsurers during third quarter recorded gross premium written of $37.91 million, a 37% growth from the previous period. During the same period there was a 26% growth in net premium written, an indication of a decrease in the reinsurers' risk appetite. It should be noted that the report has excluded reinsurance generated through subsidiaries operating outside Zimbabwe. This is a deviation from previous reporting trends. The rationale is report on business within the jurisdiction of the Commission. The excluded business in terms of GPW amounted to $12.24 million for the period ending 30 September 2010.

The increase in written business of 37%, did not translate into increased profits. On the contrary, there was an increase in underwriting losses of 73.95% from $1.07 million for the period ending 30 June 2010 to $1.86 for period under review. The losses are mainly attributed to significant net claims which increased by almost 5 fold (486%) $1.2 million to $7.15 million. As with short term insurers it is anticipated that profitability will improve in the fourth quarter as institutions against adjustments for unearned premium provisions at year end.

Table 3: Performance Indicators

	Q3 2010	Q2 2010	% Change
Gross Premium Written	37916	27692	36.92%
Net Premium Written	23923	19000	25.91%
Net Earned Premium	21998	16077	36.83%
Net Claims Incurred	7154	1220	486.39%
Net Commission Incurred	5972	4748	25.78%
Management Expenses	8125	7463	8.87%
Underwriting Profit	-1863	-1071	-73.95%
Investment Income	47	634	-92.59%
Profit Before Tax	-654	118	-654.24%

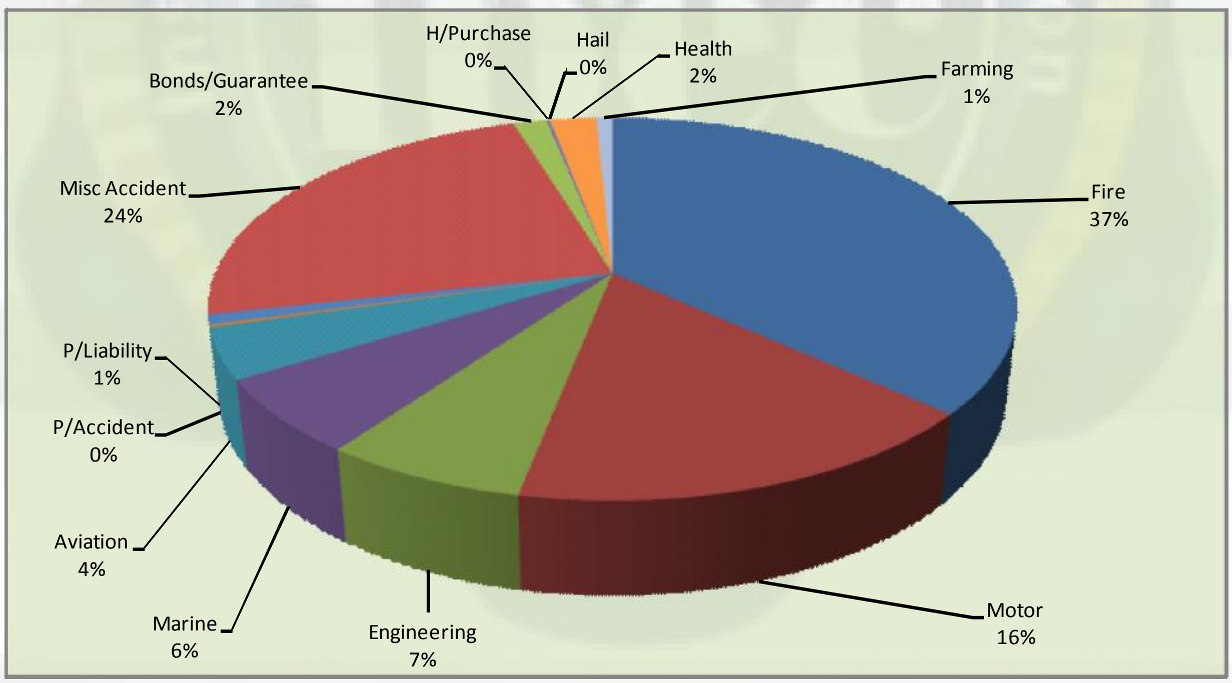
4.2. Composition of Gross Written Premiums

Fire insurance is the dominating class of business for the reinsurance accounting for 37% of GPW for the period under review followed by motor and miscellaneous accident contributing 16% and 24% respectively. The three classes of business in total constituted 77% of reinsurance business. This different from direct insurance where motor business constituted the bigger percentage of business an indication that there is more retention risk for motor than fire insurance.

Table 4: Gross Written Premiums by Class of Business

Class	Q3	%
Fire	13,900,622.00	36.7%
Motor	6,234,772.00	16.4%
Engineering	2,600,855.00	6.9%
Marine	2,385,145.00	6.3%
Aviation	1,614,003.00	4.3%
P/Accident	84,420.00	0.2%
P/Liability	307,540.00	0.8%
Misc Accident	8,985,515.00	23.7%
Bonds/Guarantee	608,824.00	1.6%
H/Purchase	50,345.00	0.1%
Hail	11,220.00	0.0%
Health	838,740.00	2.2%
Farming	293,786.00	0.8%
Total	**37,915,787.00**	**100.0%**

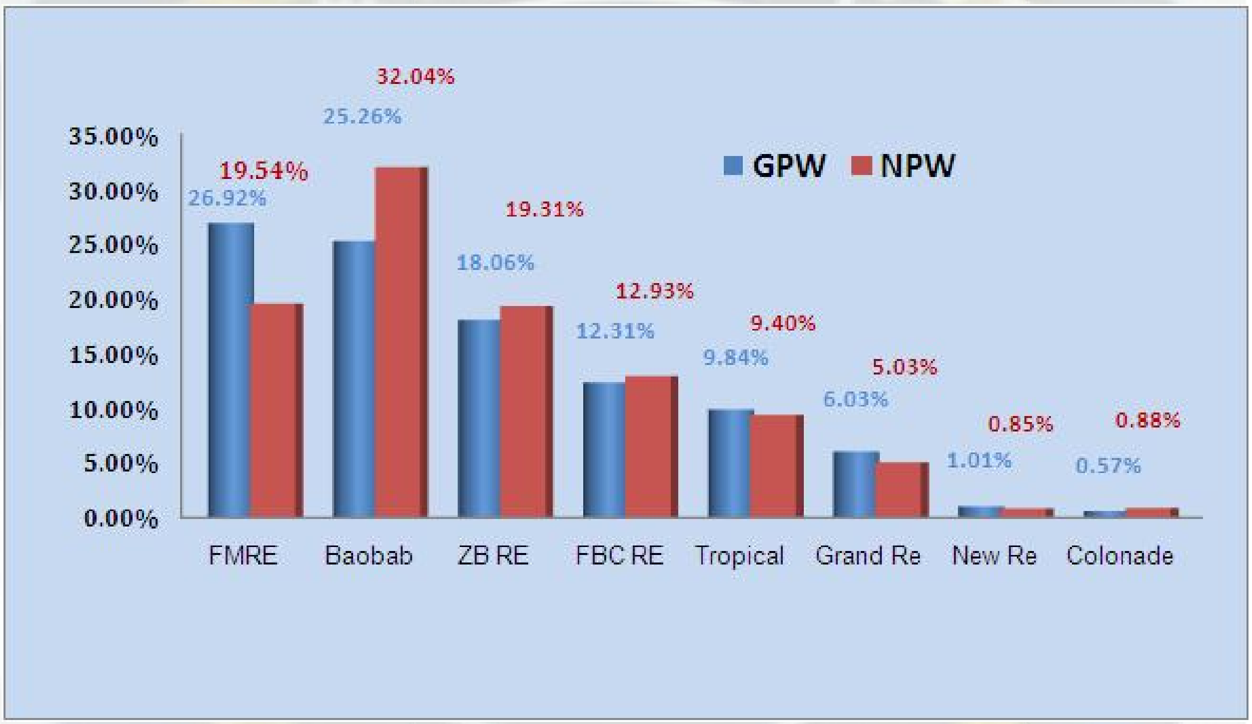
Figure 9: Distribution of Business



4.3. Market Share for Reinsurers

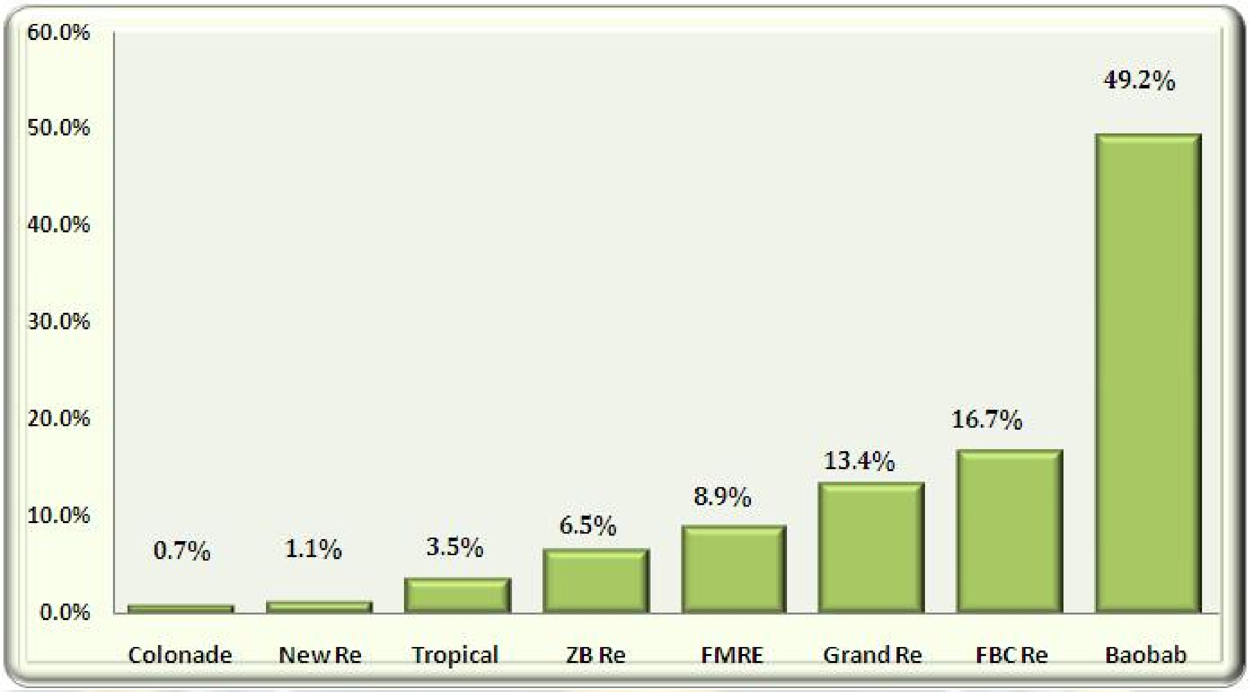
Three companies dominate the industry with a market share of more than 70% in terms of both GPW and NPW as indicated in Figure 10. However one player, due to high its high retention ratio, accounts for one third of NPW. Due to position taken by the Commission to disregard business from subsidiary outside Zimbabwe comparison with figures reported in the second quarter will be misleading.

Figure 10: Market share by GPW/NPW



One player accounts for almost half of the reinsurers' total assets as at 30 September 2010. Refer to figure 11below.

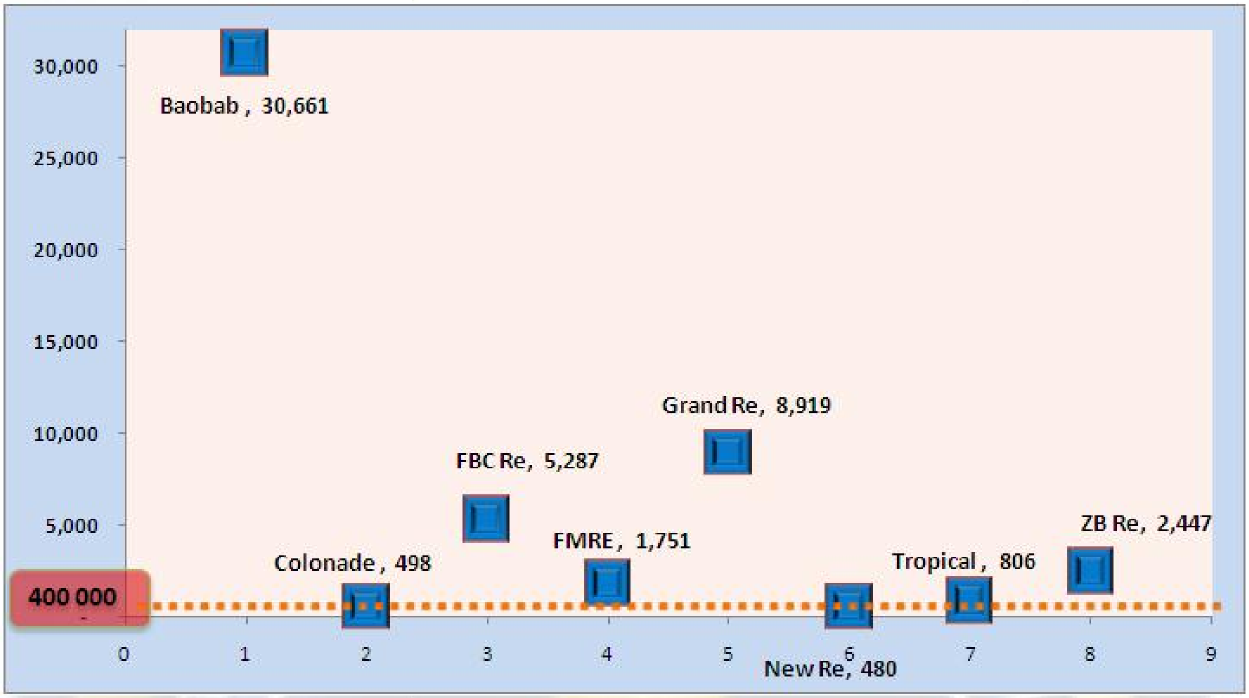
Figure 11: Market share by Asset distribution



4.4. Capitalization

The short term reinsurance industry had a capital base of $50.18 million as at 30 September 2010. The highest capitalized company accounted for 60% and the least capitalized institution 1% of the total owner's equity respectively. All reinsurers for the period under review met the stipulated minimum legal capital requirement of $400 000. The shareholders equity is shown in figure 12. Again it should be note that for the purpose of this report and avoidance of double leverage the capital supporting subsidiaries registered and operating outside the jurisdiction of Insurance and Pensions Commission of Zimbabwe has been factored out.

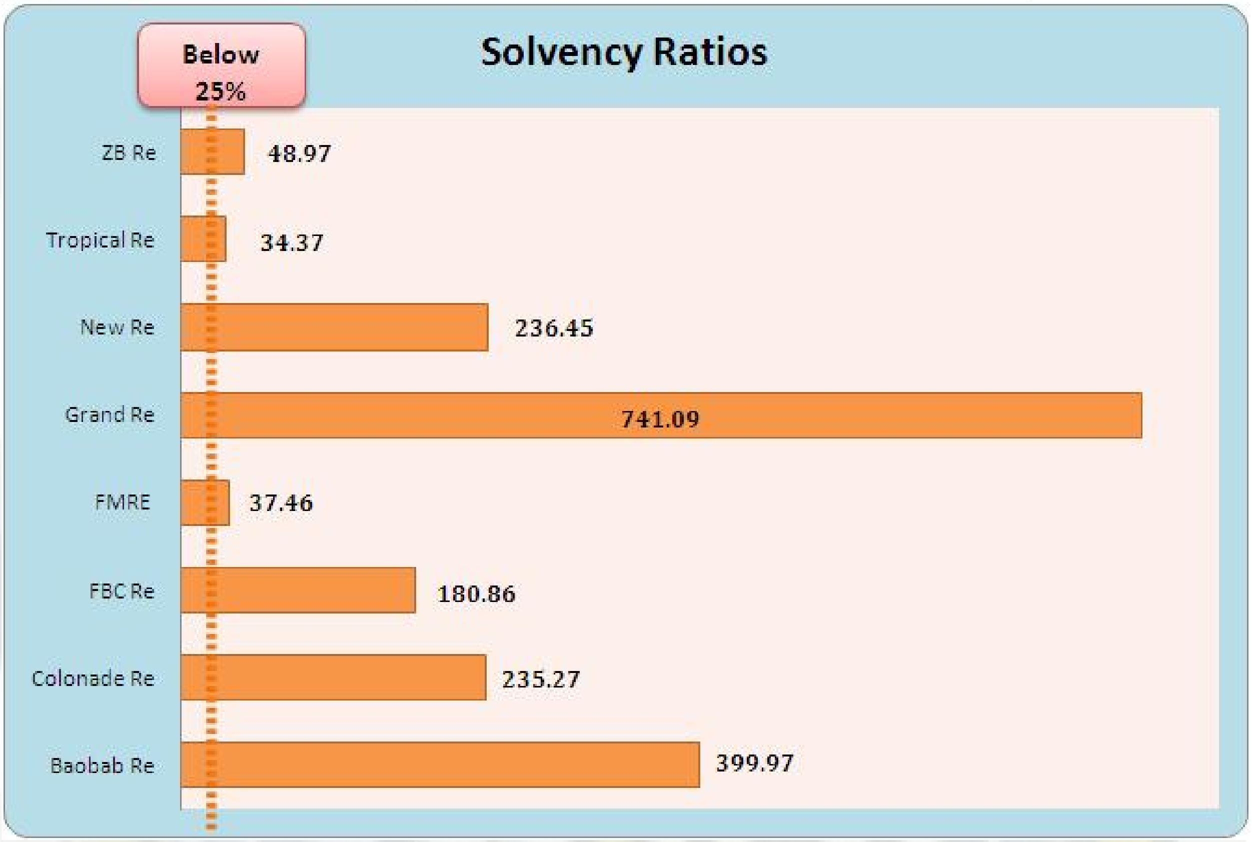
Figure 12: Shareholders Equity



4.5. Solvency

The reinsurance industry is generally solvent with an average solvency ratio of 212% for period under review. The solvency ratios range from 34% to over 700%.

Figure 13: Solvency Ratios

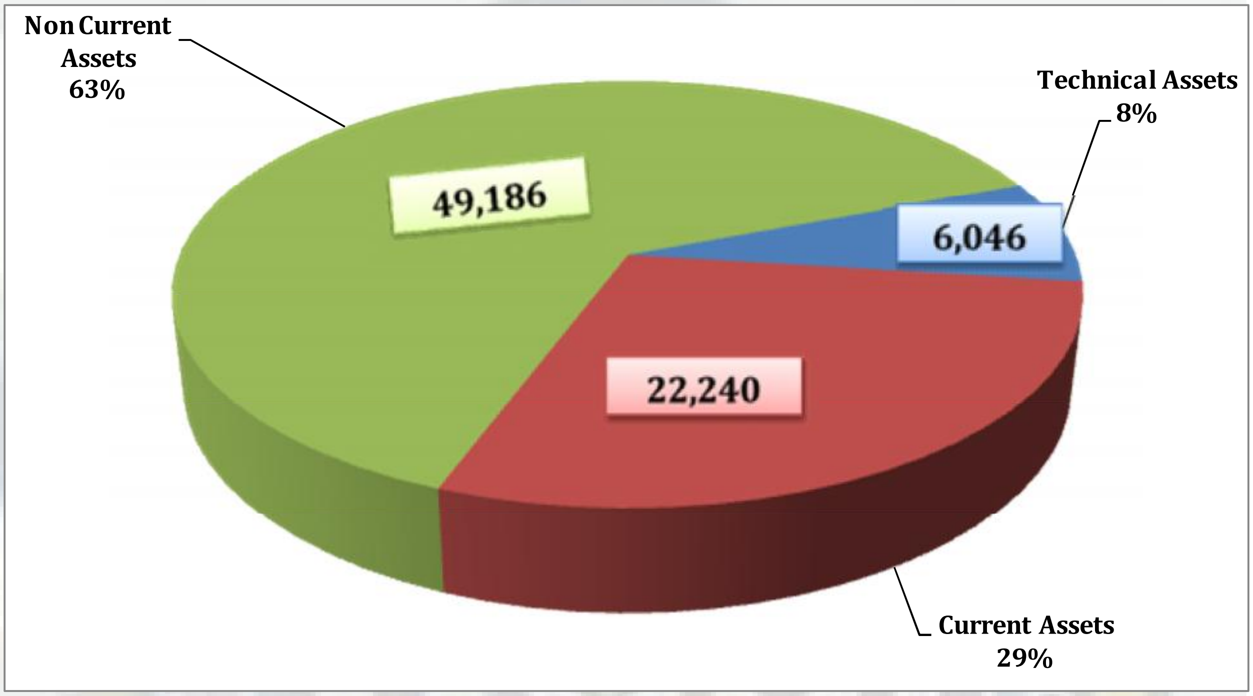


Given the difference between capital levels in the industry it is imperative for the market players to explore ways to capitalize and enhance their capacity and competitiveness and reduce the retrocession of business outside Zimbabwe.

4.6. Asset Quality

The structure of the assets as at 30 September 2010was skewed towards non-current as reflected in figure 14. This is the same trend with direct short term insurers and heightens inherent liquidity risk in the industry. The total of cash and near cash and quoted securities of $8.3 million constitute 11% of total assets. This figure is a good estimate of liquid and near liquid capital reserves which the Commission intend to set as a statutory reserve at a minimum of no less than 50% of the minimum capital requirement.

Figure 14: Assets of Reinsurers ('000)



4.7. Retention

The industry on average retained 63% of written business as indicated in figure 15 and retention by class of business is shown in figure 16.

Figure 15: Retention/Retrocession

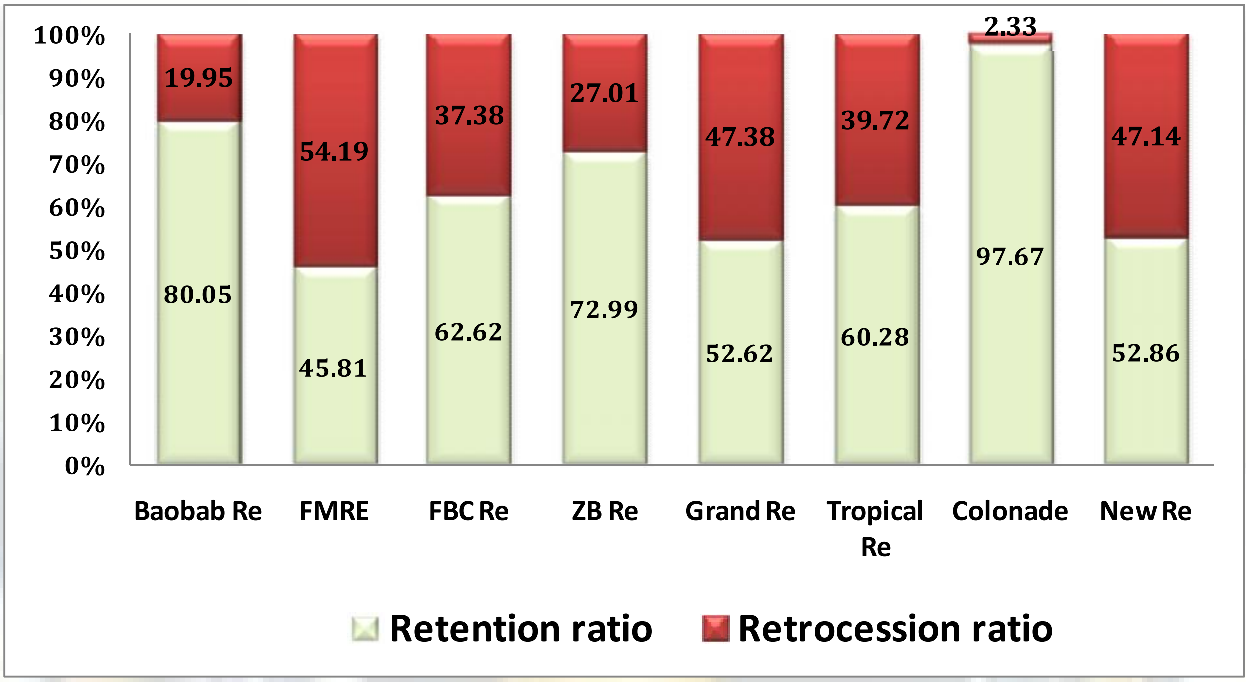
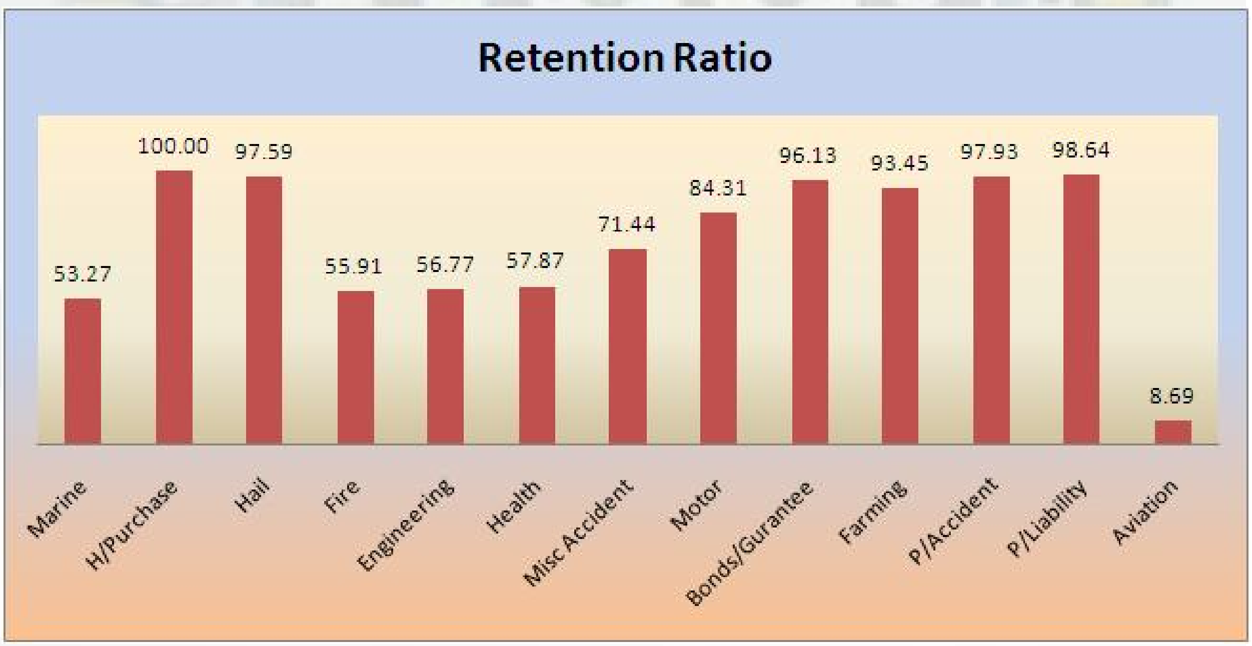


Figure 16: Retention By Class of Business



APENDIX A: ALL FIGURES IN US$('000)

	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	ECCC	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
GPW	9,255	730	5,711	9,669	624	726	1,442	2,682	1,502	1,226	395	2,603	3,035	239	95	10,315	2,473	340	1,123	7,494	1,187	3,173	8,112	8,969	83,121
Reinsurance	3,279	104	2,060	6,997	34	52	911	371	981	242	0	2,287	1,513	0	29	3,521	1,285	61	174	2,375	140	2,539	4,253	6,025	39,232
NWP	5,976	626	3,651	2,671	590	674	531	2,311	521	984	395	316	1,522	239	66	6,794	1,188	279	949	5,118	1,047	634	3,859	2,944	43,888
NEP	6,496	794	2,928	2,164	413	593	547	2,627	433	1,080	395	323	1,427	239	66	5,758	731	229	949	4,663	851	634	3,611	2,582	40,535
Net Incurred Claims	3,909	41	1,417	627	148	62	94	648	(157)	240	0	115	506	79	15	2,603	354	39	12	2,329	428	398	1,948	1,225	17,078
Net Commission Incurred	772	68	112	237	95	19	(145)	318	66	175	0	35	7	11	0	886	(11)	51	0	449	121	0	688	30	3,982
Technical Result	1,712	668	1,278	1,218	136	512	599	1,661	341	649	395	200	903	150	51	2,269	416	139	937	1,933	326	876	976	1,326	19,670
Operating Expenses	1,174	253	1,330	861	306	339	573	1,462	176	776	126	190	897	151	224	3,318	515	192	876	1,873	950	739	1,822	1,593	20,716
Underwriting Result	538	415	(52)	357	(171)	173	26	200	165	(127)	270	10	7	(2)	(173)	(1,049)	(100)	(53)	61	59	(624)	137	(846)	(266)	(1,046)
Investment																									
Investment Income	83	0	110	104	79	2	83	31	10	0	3	8	17	0	1	243	12	2	3	404	0	132	34	(92)	1,268
Unrealised Gains/Losses	0	0	(59)	(24)	0	0	0	6	0	0	0	(4)	0	0	(31)	(918)	0	(30)	0	(139)	67	0	(540)	0	(1,672)
Other Income	35	4	0	0	16	0	26	60	0	0	6	0	3	0	0	0	60	2	0	(78)	7	(8)	21	41	196
																									0
Profit Before Tax	656	419	9	437	(77)	174	135	297	175	(127)	278	15	30	(2)	(184)	(1,806)	62	(79)	64	246	(550)	261	(1,331)	(318)	(1,216)
Key Ratios																									
Market Share % on GWP	11.1%	0.9%	6.9%	11.6%	0.8%	0.9%	1.7%	3.2%	1.8%	1.5%	0.5%	3.1%	3.7%	0.3%	0.1%	12.4%	3.0%	0.4%	1.4%	9.0%	1.4%	3.8%	9.8%	10.8%	100.0%
Market Share % on NWP	13.6%	1.4%	8.3%	6.1%	1.3%	1.5%	1.2%	5.3%	1.2%	2.2%	0.9%	0.7%	3.5%	0.5%	0.2%	15.5%	2.7%	0.6%	2.2%	11.7%	2.4%	1.4%	8.8%	6.7%	100.0%
Retention Ratio	64.6%	85.8%	63.9%	27.6%	94.5%	92.8%	36.9%	86.2%	34.7%	80.2%	100.0%	12.2%	50.1%	100.0%	69.8%	65.9%	48.0%	82.1%	84.5%	68.3%	88.2%	20.0%	47.6%	32.8%	52.8%
NPW/SHAREHOLDERS EQUITY	269.4%	307.5%	260.2%	134.0%	221.8%	128.9%	21.6%	55.6%	220.2%	210.1%	94.2%	84.8%	397.4%	81.5%	28.3%	97.7%	279.4%	129.8%	278.5%	64.6%	550.1%	50.1%	212.0%	95.8%	116.0%
NEP/NWP	108.7%	126.8%	80.2%	81.0%	70.1%	88.1%	102.9%	113.7%	83.1%	109.8%	100.0%	102.2%	93.8%	100.0%	100.0%	84.8%	61.5%	82.1%	100.0%	91.1%	81.3%	100.0%	93.6%	87.7%	92.4%
Net Claims Incurred Ratio	60.2%	5.2%	48.4%	29.0%	35.8%	10.5%	17.2%	24.6%	-36.4%	22.2%	0.0%	35.4%	35.4%	32.8%	22.3%	45.2%	48.4%	17.0%	1.3%	49.9%	50.3%	62.8%	53.9%	47.5%	42.1%
Net Commission Ratio	11.9%	8.6%	3.8%	10.9%	22.9%	3.2%	-26.5%	12.1%	15.1%	16.2%	0.0%	10.8%	0.5%	4.8%	0.0%	15.4%	-1.5%	22.3%	0.0%	9.6%	14.2%	0.0%	19.0%	1.2%	9.8%
Net Expense Ratio	18.1%	31.9%	45.4%	39.8%	74.1%	57.2%	104.9%	55.6%	40.7%	71.8%	31.8%	58.7%	62.8%	63.1%	338.6%	57.6%	70.5%	83.8%	92.2%	40.2%	111.6%	116.6%	50.5%	61.7%	51.1%
Combined Ratio	90.1%	45.7%	97.6%	79.7%	132.7%	70.9%	95.5%	92.4%	19.4%	110.3%	31.8%	104.9%	98.8%	100.7%	360.8%	118.2%	117.4%	123.1%	93.5%	99.7%	176.1%	179.3%	123.4%	110.3%	103.1%
Underwriting Margin	9.9%	54.3%	2.4%	20.3%	-32.7%	29.1%	4.5%	7.6%	80.6%	-10.3%	68.2%	-4.9%	1.2%	-0.7%	-260.8%	-18.2%	-17.4%	-23.1%	6.5%	0.3%	-76.1%	-79.3%	-23.4%	-10.3%	-3.1%

Statement of Financial Position-Reinsurers US$'000	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	ECGC	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
ASSETS																									
Non-Current Assets																									
Fixed Assets	499	173	338	608	83	122	1,883	4,149	190	272	348	320	427	291	110	1,533	558	21	306	1,102	718	0	443	943	15,437
Investments	912	139	1,456	1,087	440	349	405	262	71	10	73	65	819	0	116	5,721	130	331	181	8,221	390	1,720	3,613	2,566	29,077
	1,410	**311**	**1,794**	**1,695**	**523**	**472**	**2,288**	**4,411**	**261**	**282**	**422**	**386**	**1,246**	**292**	**226**	**7,254**	**689**	**352**	**486**	**9,323**	**1,108**	**1,720**	**4,056**	**3,509**	**44,514**
Technical Assets																									
Reinsurers' Share of O/S Claims	218	0	47	0	0	0	0	0	93	42	0	0	0	0	0	0	53	0	0	199	0	0	0	0	652
Unearned Commision Reserve	502	0	292	83	43	0	0	(76)	0	4	0	42	90	0	0	305	555	0	0	259	46	0	144	340	2,629
	719	0	339	83	43	0	0	(76)	93	46	0	42	90	0	0	305	609	0	0	458	46	0	144	340	**3,281**
Current Assets																									
Premium Receivables	2,424	359	1,394	860	212	356	370	1,743	0	345	261	97	900	0	0	3,158	448	19	62	151	274	157	1,949	712	16,250
Other Debtors & Inventory	3,188	17	468	0	14	0	72	52	278	175	1	5	37	45	2	354	64	6	0	495	77	56	34	433	5,874
Accrued Investment income	0	0	0	0	0	0	0	0	0	0	0	0	1	0	16	0	18	0	0	7	22	0	0	0	64
Cash & cash equivalents	249	74	94	1,159	16	37	78	97	163	13	5	7	167	202	19	494	196	23	4	693	20	188	123	552	4,672
	5,861	449	1,956	2,019	242	393	520	1,891	441	533	267	110	1,105	247	38	4,006	726	48	66	1,347	392	401	2,107	1,696	26,860
TOTAL ASSETS	**7,991**	**760**	**4,089**	**3,796**	**808**	**865**	**2,809**	**6,226**	**794**	**862**	**688**	**537**	**2,441**	**538**	**263**	**11,565**	**2,024**	**400**	**552**	**11,128**	**1,546**	**2,121**	**6,307**	**5,546**	**74,655**
LIABILITIES																									
Deferred Tax Liabilities	0	0	82	58	0	26	0	291	0	0	0	0	0	0	12	594	0	(1)	0	533	378	90	176	260	2,499
Long Term loan	0	40	0	0	0	0	0	0	12	0	0	0	0	0	0	0	0	0	0	0	136	0	0	0	188
Current Tax provisions	164	83	(2)	0	0	12	15	(203)	78	98	0	0	4	0	17	(700)	0	16	27	23	17	642	0	(26)	266
Gross Outstanding Claims	893	0	595	0	0	0	0	405	0	175	0	41	314	0	0	112	31	0	0	0	0	0	0	742	3,309
IBNR	743	0	0	668	99	32	0	0	43	0	23	0	0	20	0	0	44	25	151	800	90	0	588	0	3,327
UPR	2,509	168	1,311	0	318	102	15	200	88	44	0	8	725	14	0	2,563	995	0	0	0	0	0	1,617	830	11,509
Unearned Premium	0	174	0	602	0	0	0	0	0	0	66	0	0	0	0	0	0	104	0	1,494	281	0	0	0	2,721
Reinsurance & Other Creditors	1,464	72	470	475	93	169	319	927	326	75	180	49	859	0	0	543	312	14	33	0	178	122	2,031	281	8,990
Other Creditors	0	19	230	0	32	0	4	453	10	0	0	65	157	210	0	1,500	217	27	0	351	275	2	74	384	4,009
TOTAL LIABILITIES	**5,773**	**557**	**2,686**	**1,802**	**542**	**342**	**353**	**2,072**	**557**	**393**	**269**	**164**	**2,058**	**244**	**29**	**4,612**	**1,598**	**185**	**211**	**3,200**	**1,356**	**856**	**4,487**	**2,472**	**36,818**
SHAREHOLDERS' EQUITY																									
Share Capital	301	0	925	620	380	300	2	380	120	300	200	33	0	45	320	2,797	50	120	47	0	304	0	2,000	553	9,797
Share Premium	0	203	0	715	0	0	460	0	0	0	0	294	0	0	0	3,420	50	0	0	0	801	1,000	0	0	6,942
Revaluation & Other Reserves	1,212	0	422	0	10	67	1,910	4,399	9	230	169	0	265	216	0	0	447	49	209	3,192	285	83	420	1,569	15,163
Retained Profit	705	1	56	659	(124)	155	84	(625)	107	(62)	50	47	118	33	(86)	736	(122)	46	85	4,736	(1,199)	182	(600)	952	5,935
Shareholders's Equity	**2,218**	**204**	**1,403**	**1,994**	**266**	**523**	**2,456**	**4,154**	**237**	**468**	**419**	**373**	**383**	**294**	**234**	**6,953**	**425**	**215**	**341**	**7,928**	**190**	**1,265**	**1,820**	**3,073**	**37,837**
																									0
TOTAL EQUITY & LIABILITIES	**7,991**	**760**	**4,089**	**3,796**	**808**	**865**	**2,809**	**6,226**	**794**	**862**	**688**	**537**	**2,441**	**538**	**263**	**11,565**	**2,024**	**400**	**552**	**11,128**	**1,546**	**2,121**	**6,307**	**5,546**	**74,655**
Key Ratios																									
Shareholders' Equity / NWP	**37.1%**	**32.5%**	**38.4%**	**74.6%**	**45.1%**	**77.6%**	**462.0%**	**179.8%**	**45.4%**	**47.6%**	**106.1%**	**118.0%**	**25.2%**	**122.7%**	**353.6%**	**102.3%**	**35.8%**	**77.1%**	**35.9%**	**154.9%**	**18.2%**	**199.5%**	**47.2%**	**104.4%**	**86.2%**
% of Debtors / Total Assets	30.3%	47.2%	34.1%	22.6%	26.3%	41.2%	13.2%	28.0%	0.0%	40.1%	37.9%	18.1%	36.9%	0.0%	0.0%	27.3%	22.1%	4.8%	11.2%	1.4%	17.7%	7.4%	30.9%	12.8%	21.8%
% of Investments / Total Assets	11.4%	18.2%	35.6%	28.6%	54.4%	40.4%	14.4%	4.2%	8.9%	1.1%	10.7%	12.2%	33.6%	0.0%	44.1%	49.5%	6.4%	82.8%	32.7%	73.9%	25.2%	81.1%	57.3%	46.3%	38.9%

Appendix B: Statement of Income-Reinsurers ('000)

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
Gross Written Premiums	9,577	217	4,668	10,205	2,287	384	3,732	6,846	37,916
Reinsurance Premiums	1,911	5	1,574	5,531	1,084	181	1,482	2,225	13,993
Net Written Premiums	7,666	212	3,094	4,675	1,204	203	2,250	4,621	23,923
Net Earned Premiums	7,212	212	2,535	4,519	1,234	176	2,007	4,104	21,998
Net Incurred Claims	2,473	0	419	1,798	759	31	500	1,175	7,154
Net Commission Incurred	1,959	12	882	913	277	54	530	1,346	5,972
Technical Result	2,940	200	1,234	1,788	157	91	1,026	1,583	9,019
Operating Expenses	2,703	84	1,842	1,544	379	142	312	1,118	8,125
Underwriting Result	237	116	(608)	244	(222)	(51)	713	465	894
Investment									
Investment Income	35	17	160	(43)	(147)	0	50	(25)	47
Unrealised Gains/Losses	0	0	(109)	(958)	0	3	0	0	(1,064)
Other Income	0	0	21	0	0	0	0	0	21
Profit Before Tax	(190)	132	(537)	(757)	(369)	(48)	764	440	(565)
Key Ratios									
Market Share based on GWP	25.3%	0.6%	12.3%	26.9%	6.0%	1.0%	9.8%	18.1%	100.0%
Market Share based on NWP	32.0%	0.9%	12.9%	19.5%	5.0%	0.8%	9.4%	19.3%	100.0%
Retention Ratio	80.0%	97.7%	66.3%	45.8%	52.6%	52.9%	60.3%	67.5%	63.1%
NPW/SHAREHOLDER'S EQUITY	25.0%	42.5%	58.5%	267.0%	13.5%	42.3%	290.9%	188.8%	47.1%
NEP/ NPW	94.1%	100.0%	81.9%	96.7%	102.5%	86.7%	89.2%	88.8%	92.0%
Net Claims/NEP	34.3%	0.0%	16.5%	39.8%	61.5%	17.6%	24.9%	28.6%	32.5%
Net Commission Ratio	27.2%	5.6%	34.8%	20.2%	22.5%	30.7%	26.4%	32.8%	27.1%
Net Expense Ratio	37.5%	39.7%	72.7%	34.2%	30.7%	80.7%	15.6%	27.3%	36.9%
Combined Ratio	98.9%	45.3%	124.0%	94.1%	114.7%	129.0%	66.9%	88.7%	96.6%
Underwriting Margin	1.1%	54.7%	-24.0%	5.9%	-14.7%	-29.0%	33.1%	11.3%	3.4%

Statement of Financial Position-Reinsurers US$'000									
	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	1,253	50	296	241	254	143	232	692	3,161
Investments	27,379	29	4,585	2,712	8,918	405	640	1,359	46,026
	28,631	**80**	**4,880**	**2,953**	**9,172**	**548**	**871**	**2,051**	**49,186**
Technical Assets									
Reinsurers' Share of Outstanding	0	0	3,892	0	278	0	0	0	4,170
Provision for Unearned Commisio	853	0	334	451	190	0	49	0	1,875
	853	0	4,226	451	467	0	49	0	6,046
Current Assets									
Premium Receivables	5,140	0	2,905	2,467	646	139	1,479	2,120	14,895
Other Debtors & Inventory	1,225	3	166	195	20	4	66	338	2,018
Accrued Investment income	0	0	0	771	7	0	0	0	778
Cash & cash equivalents	2,264	427	796	37	89	130	243	565	4,550
	8,629	430	3,866	3,469	761	273	1,789	3,023	**22,240**
TOTAL ASSETS	**38,113**	**510**	**12,973**	**6,873**	**10,401**	**821**	**2,709**	**5,073**	**77,472**
LIABILITIES									
Deferred Tax Liabilities	0	0	(161)	33	0	0	23	(63)	(169)
Current Tax provisions	0	0	(300)	0	0	11	0	113	(176)
Long term loan	0	0	0	0	0	27	0	0	27
IBNR	2,467	0	0	432	513	0	33	0	3,445
Gross Outstanding Claims	0	0	4,490	0	0	33	0	904	5,428
UPR	0	0	1,519	0	0	76	0	933	2,528
Unearned Premiums	3,813	0	0	2,000	648	0	243	0	6,704
Reinsurance & Other Creditors	0	0	653	2,598	226	148	1,636	738	6,000
Other Creditors	1,171	12	1,485	59	95	46	0	0	2,869
TOTAL LIABILITIES	**7,452**	**12**	**7,686**	**5,122**	**1,482**	**341**	**1,935**	**2,626**	**26,656**
SHAREHOLDERS' EQUITY									
Share Capital	400	312	0	1,500	400	400	227	5	3,245
Share Premium	23,972	0	2,203	0	0	0	0	495	26,670
Revaluation & Other Reserves	4,044	0	3,087	207	5,246	150	0	11	12,744
Retained Profit	2,244	186	(3)	44	3,274	(70)	546	1,937	8,157
Shareholders's Equity	**30,661**	**498**	**5,287**	**1,751**	**8,919**	**480**	**773**	**2,447**	**50,816**
TOTAL EQUITY & LIABILITIES	**38,113**	**510**	**12,973**	**6,873**	**10,401**	**821**	**2,709**	**5,073**	**77,472**
Key Ratios									
Shareholders' Equity / NWP	**400.0%**	**235.3%**	**170.9%**	**37.5%**	**741.1%**	**236.5%**	**34.4%**	**53.0%**	**212.4%**
% of Debtors / Total Assets	13.5%	0.0%	22.4%	35.9%	6.2%	16.9%	54.6%	41.8%	19.2%
% of Investments / Total Assets	71.8%	5.7%	35.3%	39.5%	85.7%	49.3%	23.6%	26.8%	59.4%